



Strait Of Hormuz And Oil Volatility: How A Supply Shock Became A Rolling Market Story

The Strait of Hormuz has long been one of the most closely watched chokepoints in the global energy market. In normal conditions, it carries a significant share of the world's crude oil, refined products, and liquefied natural gas flows. When military tension rises around this narrow waterway, oil markets can react before physical supply is fully affected.

In 2026, the story did not move in a straight line. It shifted from an initial shock in early March to ceasefire headlines in April, renewed fighting in May, and fresh signs of disruption in import data. For traders and market watchers, this made the Strait of Hormuz less of a one-day headline and more of a rolling source of volatility.

By early May, the market was still reacting to conflicting signals. Political statements suggested progress at times, but shipping activity, supply estimates, and crude price reactions continued to show stress. Reuters reported on 9 May that China's crude imports fell 20% in April to 38.5 million metric tonnes, the lowest level since July 2022, as the closure of the Strait of Hormuz restricted supplies to the world's largest oil importer.

Key Points

- The Strait of Hormuz remained a major oil-market risk because disruptions to shipping affected crude flows, insurance costs, inventory planning, and market sentiment.
- The story changed several times between March and May 2026, with sharp price moves, ceasefire claims, renewed military clashes, and ongoing uncertainty over when normal tanker traffic could resume.

- For Contracts for Difference (CFD) traders, the episode showed how geopolitical risk can affect Brent and WTI crude prices, while also reinforcing the need to treat leverage, volatility, and headline risk with caution.

Why The Strait Of Hormuz Matters To Oil Markets

The Strait of Hormuz connects the Persian Gulf with the Gulf of Oman and the Arabian Sea. It is one of the few routes available for oil and gas exports from key Middle Eastern producers.

That geography makes it sensitive. Even when a full physical shutdown has not happened, the perceived risk of disruption can affect prices. Traders often refer to this as a risk premium. In simple terms, the market begins pricing the possibility that future supply may become harder, slower, or more expensive to move.

The International Energy Agency (IEA) said in March that oil prices had “gyrated wildly” after the United States and Israel launched joint air strikes on Iran on 28 February. It also noted that attacks on regional energy infrastructure and the near halt in tanker traffic through the Strait of Hormuz sent Brent futures close to \$120 per barrel before prices eased.

This is why the Strait matters for oil pricing. The market does not wait for every barrel to disappear. It reacts to the probability of supply risk, the cost of shipping, and the credibility of reopening claims.

Timeline: How The Strait Of Hormuz Story Changed

28 February 2026: Military Escalation Begins

The first major turning point came after joint US-Israel strikes on Iran. According to the IEA, the outbreak of hostilities created a major oil-market shock, with Brent rising sharply as tanker traffic through the Strait of Hormuz slowed and regional energy infrastructure came under pressure.

At this stage, the story was mainly about fear of supply disruption. Oil prices reacted to the possibility that one of the world’s most important energy routes could become unsafe or commercially unviable.

Early March 2026: Tanker Traffic Slows And Prices Surge

By March, disruption had become more visible. The IEA described the situation as a near halt in tanker movements through the strait, with almost 20 million barrels per day of oil exports affected and limited alternatives available.

The World Bank later described the shock as the largest oil-market disruption in history, stating that global oil supply fell by 10.1 million barrels per day in March due to attacks on energy infrastructure and restrictions on tanker traffic in the Middle East.

Late March To Early April 2026: Ceasefire Headlines Create Uncertainty

The next stage was more complicated. Prices did not move in only one direction. The World Bank noted that oil prices eased somewhat in early April after a temporary ceasefire was announced. However, it also stated that price movements continued to reflect uncertainty over negotiations between Iran and the United States, as well as restrictions on vessels entering or leaving Iranian ports and coastal areas.

4 May 2026: Market Doubts Reopening Claims

By early May, some political messaging suggested that progress was being made. But market analysts remained cautious. Al Jazeera reported on 4 May that oil prices were broadly flat as a US plan to calm the Strait of Hormuz market failed to provide reassurance. Analysts cited in the report said observable oil inventories were beginning to fall sharply and that restoring normal flows through the strait would take more than political statements.

The same report said only 20 vessels crossed the strait on the most recent available day, compared with an average of 129 daily transits before the war, based on UN Trade and Development data cited by Al Jazeera.

8 May 2026: Renewed Fighting Pushes Oil Higher Again

The story shifted again on 8 May. Al Jazeera reported that Brent crude rose as much as 7.5% during a volatile trading session after the US and Iran exchanged fire in the Strait of Hormuz, before prices eased during Asian trading hours.

The report also stated that shipping in the strait had been near a standstill since late February, while Brent prices were about 40% higher than before the war.

9 May 2026: China Import Data Shows Real Economic Effects

The 9 May Reuters data gave the article a stronger evidence point. China's crude oil imports fell to their lowest level in almost four years in April, with imports down 20% year-on-year to 38.5 million metric tonnes. Reuters also reported that China imports roughly half of its crude oil from the Middle East, where the strait closure had reduced the number of tankers carrying crude and refined products.

Timeline: How the Strait of Hormuz Story Changed

Key developments from 28 February to 9 May 2026



**~20 MILLION
BARRELS PER DAY**
of oil exports
affected at peak



**10.1 MILLION
BARRELS PER DAY**
global oil supply
fell in March



**BRENT ~40%
ABOVE
PRE-WAR LEVELS**
as of 8 May



**SHIPPING
NEAR A
STANDSTILL**

- 1**  **28 FEBRUARY 2026** **Military Escalation Begins**
Joint US-Israel strikes on Iran trigger a major oil-market shock. Brent rises sharply as tanker traffic slows and regional energy infrastructure comes under pressure. Markets react to fears of supply disruption through one of the world's most important energy routes.
- 2**  **EARLY MARCH 2026** **Tanker Traffic Slows And Prices Surge**
The IEA describes a near halt in tanker movements through the strait. Almost 20 million barrels per day of oil exports are affected. The World Bank later says global oil supply fell by 10.1 million barrels per day in March.
- 3**  **LATE MARCH TO
EARLY APRIL 2026** **Ceasefire Headlines Create Uncertainty**
Oil prices ease briefly after a temporary ceasefire, but uncertainty remains. Markets continue to watch Iran-US negotiations and restrictions on vessels entering or leaving Iranian ports and coastal areas.
- 4**  **4 MAY 2026** **Market Doubts Reopening Claims**
Oil prices remain broadly flat as reopening hopes fail to reassure markets. Only 20 vessels crossed the strait on the latest available day, down from an average of 129 daily transits before the war.
- 5**  **8 MAY 2026** **Renewed Fighting Pushes Oil Higher Again**
Brent rises as much as 7.5% in a volatile session after the US and Iran exchange fire in the Strait of Hormuz. Shipping remains near a standstill, while Brent stays about 40% above pre-war levels.
- 6**  **9 MAY 2026** **China Import Data Shows Real Economic Effects**
China's crude oil imports fall 20% year on year to 38.5 million metric tonnes in April, the lowest level in almost four years. The data points to the wider economic impact of the strait disruption.



The story moved from supply fears to transport disruption, market uncertainty, and finally visible economic effects.



Why This Is Bigger Than Oil

The Strait of Hormuz is often treated as an oil-price story. That is understandable. In 2024, around 20 million barrels per day of oil moved through the strait, equal to roughly 20% of global petroleum liquids consumption. It was also a key route for liquefied natural gas (LNG), particularly from Qatar.

But the wider risk is not limited to crude prices. A disruption can affect how goods are produced, moved, priced, and consumed across the global economy.

Oil is embedded in transport. LNG is embedded in electricity generation, heating, industrial production, and power-intensive manufacturing. When a key energy route is disrupted, the effects can move through the economy in layers. Shipping costs may rise first. Then fuel costs can affect freight, aviation, logistics, and manufacturing. Over time, these pressures can feed into consumer prices, company margins, and central bank inflation expectations.

This is why the Strait of Hormuz functions like more than a maritime route. It is a stress test for the global supply chain.

A prolonged disruption can also create uneven pressure across regions. Asia is especially exposed because a large share of Hormuz energy flows is directed there. The US Energy Information Administration has noted that most crude oil, condensate, and LNG moving through the strait goes to Asian markets, with China, India, Japan, and South Korea among the key destinations.

That matters because energy shocks rarely stay in one market. If Asian refiners receive fewer crude shipments, fuel exports may be reduced to preserve domestic supply. If LNG deliveries are delayed, buyers may seek alternative cargoes from other regions. If shipping insurers raise war-risk premiums, those costs can be passed along the chain. In each case, the original shock starts in one waterway, but the economic impact spreads through trade, transport, inventories, and prices.

The 2026 disruption showed this transmission clearly. Reuters reported that China's crude imports fell sharply in April as Strait of Hormuz disruptions affected Middle East supplies, while refined fuel exports also dropped to a decade low as domestic supply became a priority.

For market watchers, this is the more thought-provoking point: the Strait of Hormuz is not important only because oil passes through it. It is important because modern economies depend on energy arriving at the right place, at the right time, and at a manageable cost. When that

chain is interrupted, the result can be felt far beyond crude charts. It can show up in airline costs, manufacturing inputs, shipping schedules, inflation data, and household energy bills.

In that sense, the Strait of Hormuz is not just an oil-market chokepoint. It is a reminder that globalisation still depends on a small number of physical routes, and that financial markets can reprice risk quickly when one of those routes comes under pressure.

Brent And WTI: Why The Market Reaction Can Differ

Brent and West Texas Intermediate (WTI) often move in the same broad direction, but they do not always respond with the same intensity.

Brent is the more globally referenced benchmark and is generally more sensitive to supply risks linked to Middle Eastern shipping routes. WTI reflects US crude market dynamics more directly, including US production, inventories, pipeline flows, and domestic demand.

During a Strait of Hormuz disruption, Brent may react more strongly because the story is tied to seaborne supply and global trade routes. WTI can still move, especially when global supply risk affects overall sentiment, but its pricing may also be shaped by US-specific inventory and production data.

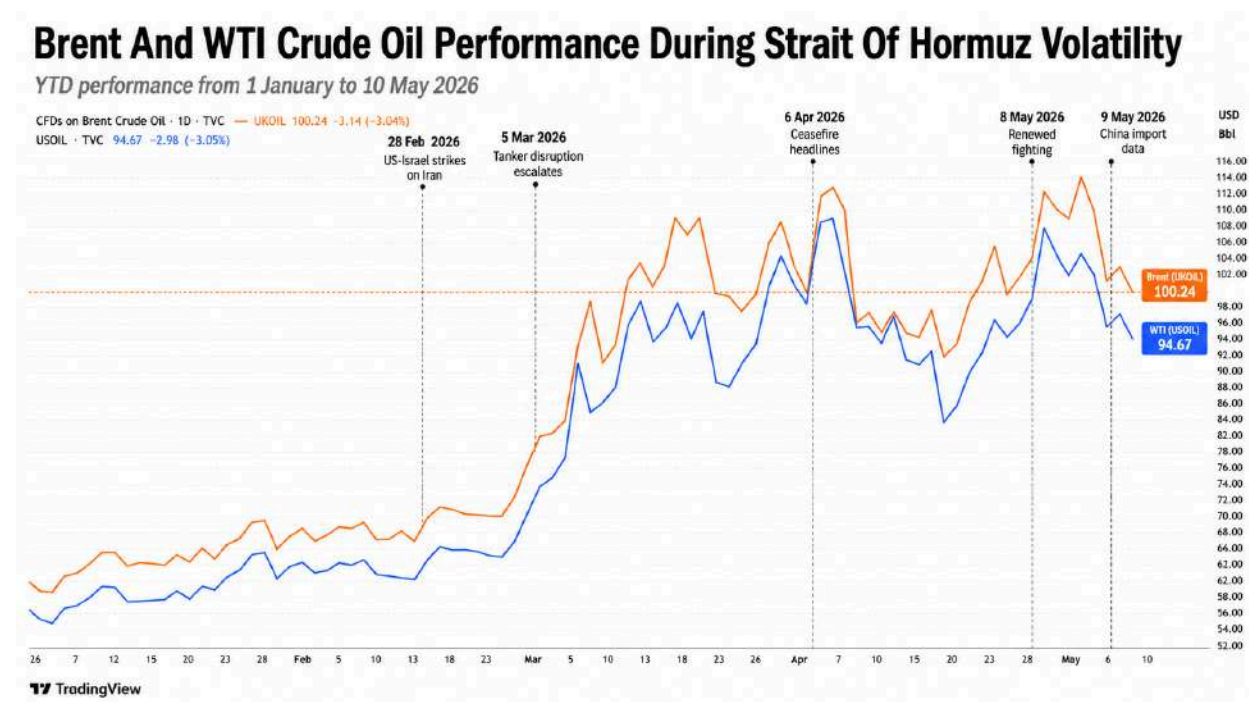


Chart 1: Brent and WTI crude oil price movement from 1st January to 9th May 2026.

The chart shows Brent and WTI moving in the same broad direction, but not with the same intensity. Brent traded above WTI throughout much of the period, reflecting its closer link to

global seaborne crude flows and Middle East supply risk. When the Strait of Hormuz disruption escalated in late February and early March, both benchmarks broke higher, but Brent carried a stronger risk premium as the market priced in tighter global supply conditions.

From a technical perspective, the early March move marked a clear breakout from the previous January-to-February trading range. After that breakout, both Brent and WTI began forming wider price swings, showing that volatility had increased. The pullbacks in late March and mid-April did not fully return prices to earlier levels, which suggests that the market continued to price in unresolved geopolitical risk even during ceasefire-related headlines.

WTI also moved higher, but its price action remained shaped by US-specific factors such as domestic production, inventory levels, pipeline flows, and refinery demand. This helps explain why WTI can follow the same geopolitical direction as Brent while still showing a different price level and movement pattern. For Contracts for Difference (CFD) traders, this difference matters because the same headline can influence both benchmarks, but the size, timing, and volatility of the price move may vary.

What This Means For Traders

Oil CFDs allow traders to take positions on Brent or WTI price movements without owning the underlying physical oil. This can provide market access during periods of volatility, but it also carries significant risk.

The 2026 Strait of Hormuz episode shows why oil is never just a commodity chart. It is tied to shipping routes, military risk, insurance costs, energy security, inflation expectations, and political decision-making. A single headline can change the market's view of supply risk within minutes.

For traders, two lessons stand out.

- First, geopolitical headlines can change quickly. A ceasefire headline may pressure prices lower, while renewed military action may push prices higher within the same week.
- Second, price moves can occur before physical supply data is fully available. Markets often react to perceived risk, shipping activity, insurance costs, and statements from governments or energy agencies.

The deeper lesson is that market risk is often built before it becomes visible. By the time a supply disruption appears in official data, prices may have already adjusted. The Strait of Hormuz is a reminder that traders are not only analysing oil supply; they are also reading confidence, fear, timing, and the fragile routes that keep the global economy moving.